

Meta Platforms, Inc.

META NASDAQ

Buy \$590.08 ▲ 0.03% 12M Price Target \$720.00 52-Week Range \$520.26 – \$796.25 Market Cap \$1.50T

META: Scorched-Earth AI Pricing While Lawsuits Nibble at Edges

WHAT HAPPENED

- Stock is basically flat (\$590, +0.03%) but sitting at just 25% of its 52-week range — meaning it's much closer to the yearly low (\$520) than the high (\$796). That's notable given tech overall is up 7% in 5 days. META is being LEFT BEHIND in the tech rally, which usually means there's an overhang — and today we got a clue: a judge ordered a \$567M child safety payment.
- The bigger story: Chamath Palihapitiya is calling out Meta's "scorched earth" AI pricing — their model runs at \$0.69 (per million tokens, presumably) and it works. Translation: Meta is trying to bleed OpenAI and Anthropic by making AI dirt cheap, using ad-business cash flow as ammo.

WHY IT MATTERS

Here's what I think is really going on: Meta is playing the same playbook they used to kill Snapchat with Stories — undercut aggressively, absorb the losses, force competitors to burn cash matching them. The \$0.69 pricing on their AI model is a strategic weapon, not a profit center. That's bullish long-term because Meta has the most durable cash cow in tech (Instagram/Facebook ads) to fund this war, but short-term it caps margin expansion — which is exactly why the stock is lagging while other AI names rip. The \$567M child safety ruling is annoying but it's less than 0.04% of market cap — the REAL risk is if this ruling emboldens Congress to pass the Kids Online Safety Act (KOSA), which would force actual product changes.

POLICY & POLITICAL WATCH

Two things to watch: (1) KOSA (Kids Online Safety Act) has been circling Congress for two years — today's \$567M judgment gives it fresh political ammo. If it passes, Meta has to redesign feeds for minors, which hurts engagement metrics that ad pricing depends on. (2) The Trump administration's AI executive orders have generally been LIGHT on regulation and heavy on "beat China" — that's a tailwind for Meta's open-source Llama strategy since being open-source is now framed as a national security asset. Net-net: AI policy environment = friendly, child safety policy environment = hostile and getting worse.

IS IT EXPENSIVE?

At ~21x forward earnings — meaning you're paying \$21 for every \$1 of profit Meta will make next year — this is CHEAP for a company growing ad revenue double digits with dominant market share. Compare that to Microsoft (~30x) or Palantir (~150x). The discount exists because investors are worried about the massive AI capex spending (hundreds of billions) not paying off. If it does pay off, this multiple expands and the stock re-rates higher.

WHAT COULD GO WRONG

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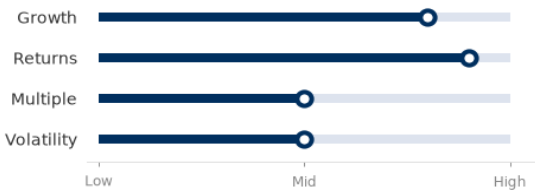
AI-Generated Pre-Market Brief | 2026-08-07 13:53 UTC

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Key Data

Price (USD)	\$590.08
12M Price Target	\$720.00
Upside / (Downside)	+22.0%
Market Cap	\$1.50T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	21.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$640.00	\$605.00	\$555.00
6 Months	\$720.00	\$650.00	\$520.00
1 Year	\$820.00	\$720.00	\$500.00
2 Years	\$950.00	\$800.00	\$480.00
5 Years	\$1400.00	\$1000.00	\$450.00
10 Years	\$2200.00	\$1500.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+7% in 5 days) is on fire, driven by AI infrastructure spend and a friendly regulatory posture from the White House. Consumer Discretionary also strong (+2.9%) — signals consumer is holding up, which is bullish for ad-supported businesses like Meta.

COOLING OFF: Healthcare is flat/negative — the market isn't excited about defensive names right now, which usually means risk appetite is HIGH and money is chasing growth.

ROTATION WATCH: Money is flowing into AI infrastructure and semiconductors (see AMD buying Taalas today). Meta is oddly LAGGING this rotation — investors seem to prefer picks-and-shovels (chips) over application-layer AI right now.

RELATED PLAY: If Meta's AI strategy works, the second-order winners are the companies selling them GPUs and power — Nvidia, and increasingly the data center REITs and utilities. The Telegraph piece about a UK data center operator going public (\$19B listing) is a signal of how hot this space is.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the reference AI trade — every dollar Meta spends on capex ends up in Nvidia's revenue line.
- AMD (Advanced Micro Devices): Just bought Taalas (AI chip startup) — signaling the chip war is intensifying, and Meta is a customer of both.

META CONTEXT: Meta is LAGGING the tech tape badly — at 25% of its 52-week range while the sector rips. That tells me either (a) the stock is quietly setting up for a catch-up trade, or (b) there's something specific about Meta the market doesn't like (AI capex worry + child safety overhang). I lean toward "catch-up trade" given the bullish options flow (put/call ratio 0.42 = calls dominating).

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like this setup because the stock is cheap, options traders are aggressively bullish (calls outweighing puts 2.4:1), and Meta has the cash flow to win the AI price war. Not a 10 because the child-safety legal/legislative overhang is real.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a regulatory shock doesn't wreck you.

ENTRY POINTS: I'd add in the \$570-585 zone. The stock has held \$587-590 all week — if that breaks, buyers step in around \$570.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is evidence that AI investments are showing revenue (probably 2H 2026 earnings) or that KOSA fails in Congress again.

WHEN TO BAIL: If ad revenue growth slows below 10% YoY, or if Congress actually passes major child-safety legislation with teeth, I'm cutting the position.

HEDGING: Simplest hedge is just keeping the position modest. If you want to get fancy, own META but short a stretched AI peer like Palantir — if AI enthusiasm cools, the pricey one falls further than the cheap one.